Point-of-Use Water - Two-Page Operating Benchmark

AquaVenture Holdings / Quench and Primo Water | Source report dated July 18, 2026

SUBVERTICAL THESIS

The core archetype is Quench's workplace point-of-use model: company-owned filtration dispensers installed for fixed recurring fees including filters, sanitation, maintenance, and support. Primo is a mixed reference because filings combine filtration with refill and the offer spans homes and businesses. The benchmark therefore anchors on Quench, not a simple average. Recurring billing and route density support margins, but technicians and owned equipment add physical intensity. Legal terms can be short; durability comes from installation, service continuity, and switching effort.

METRIC	BENCHMARK RANGE	WHY THE ASSERTION MAKES SENSE	STRONGEST SUPPORT / CAVEAT
Revenue growth	**Core low / central / high: 4% / 8% / 12%; broader observed range: 1%-18%.**	New placements, added units, price, retention, and acquisitions drive growth, not water throughput. Office health constrains Quench; mixed channels add refill effects.	Quench grew 45.4% in 2019, with 13.6% organic growth. Primo's combined Refill/Filtration channel grew 18.2% in 2023, but filtration-only growth was undisclosed. **Confidence: Medium - Quench's anchor is strong but dated; Primo is mixed.**
EBITDA margin	**Core low / central / high: 24% / 28% / 31%; broader observed range: 12%-31%.**	Monthly fees create recurring contribution; technicians, travel, filters, sanitation, repairs, and mix consume margin. Dense workplace routes should outperform fragmented home/business service.	Quench reported $32.4 million EBITDA on $115.2 million 2019 revenue, a 28.1% margin. Primo's 12%-24% filtration range is inferred. **Confidence: Medium - Quench is reported; Primo is low-confidence.**
Maintenance capex / revenue	**Core low / central / high: 10% / 13% / 17%; broader observed range: 5%-17%.**	Sustaining capital includes replacement systems, returned-unit refurbishment, service vehicles, removal, and reinstallation. Filters are operating cost.	Quench owns about 160,000 rental units. Primo disclosed $235.0 million net customer equipment with 2-15-year lives, but it includes refill and other assets. **Confidence: Low - filtration-specific sustaining capex is undisclosed.**
Post-maintenance capex conversion	**Core low / central / high: 30% / 54% / 68%; broader observed range: 35%-71%.**	Recurring fees support EBITDA, but replacement and service assets absorb cash. This metric is not full free cash flow.	The 54% center uses Quench's 28% margin and 13% capex estimate. Primo's 56% case uses inferred 18% margin and 8% capex. **Confidence: Low - capex and Primo EBITDA are derived.**
Initial contract tenor	**Core low / central / high: 1 month / 1-12 months / 36 months; broader range: one-month rolling to multiyear.**	Flexible terms reduce sales friction; some enterprise accounts run longer. Durability relies more on operating stickiness than legal lock-in.	Quench describes primarily month-to-month rental. Primo permits cancellation without penalty after rescission, effective after the next full billing period. **Confidence: Medium - terms are direct; account mix is not.**
Effective customer tenure	**Core low / central / high: 3 / 6 / 9 years; broader observed range: 2-9 years.**	Plumbing, service, billing, and multi-unit relationships extend life; office closure, downsizing, hybrid work, easy cancellation, and substitutes shorten it.	Quench averaged about 2.9 units per customer. Primo's rolling cancellation supports a lower 4-year company center. **Confidence: Medium core; churn is undisclosed and Primo is low-confidence.**
Utilization exposure	**Low: low customer-usage / moderate asset; central: moderate overall; high: moderate-high. Broader range: low-to-moderate customer usage and moderate asset/service capacity.**	A lightly used contracted machine still earns; a returned unit does not until redeployed. Route density and technician productivity govern service economics.	Quench uses fixed pricing and 500+ technicians, with office-occupancy exposure. Primo diversifies office risk but can be harder to densify. **Confidence: Medium - churn, idle fleet, and route KPIs are unavailable.**
New-unit or customer payback	**Core equipment low / central / high: 1.8 / 2.7 / 3.8 years; core CAC: 0.6 / 1.0 / 1.5 years. Broader equipment range: 1.5-3.8 years; broader CAC range: 0.8-2.0 years.**	Equipment payback uses installed cost and contribution after service and sustaining reserve. CAC payback is shorter because one account can support multiple machines.	Quench had 160,000 units and 55,000-plus customers, about 2.9 units per account. Primo plans start at $27.99 monthly; installed cost is undisclosed. **Confidence: Low - both paybacks are derived.**
B2B vs B2C	**Core low / central: Predominantly B2B; high: almost entirely workplace B2B. Broader range: predominantly B2B to mixed B2B/B2C.**	Workplace customers support density but add procurement complexity. Mixed home/business models broaden the funnel while increasing fragmentation and weakening contractual durability.	Quench is explicitly B2B and directs residential users elsewhere. Primo markets to homes, offices, schools, healthcare, hospitality, and manufacturing. **Confidence: High core; Primo's exact mix is undisclosed.**

Point-of-Use Water - Two-Page Operating Benchmark

AquaVenture Holdings / Quench and Primo Water | Source report dated July 18, 2026

HOW TO READ THE UNIVERSE

Point-of-use water replaces bottle logistics with filtration connected to a site's supply. The core unit is a contracted machine; CAC and tenure sit at the account because one customer may support several systems. Providers fund equipment and installation, then filter, sanitize, repair, recover, refurbish, and redeploy. Draw matters less than contract status. The strategic divide is dense workplace B2B versus mixed platforms whose filtration economics are obscured by refill, delivery, retail, and household channels.

AquaVenture Holdings / Quench

What it does. The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery.
Economic model. The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again.
Evidence bridge. FY2019 is the last standalone period. Quench had about 160,000 units and 55,000-plus customers, or 2.9 units per account, with $115.2 million revenue, $32.4 million adjusted EBITDA, 13.6% organic growth, and six acquisitions. Current materials describe mainly month-to-month rental and included service. Current churn, replacement cycles, installed cost, unit contribution, and capex are unavailable, making capex and payback low-confidence.

Primo Water

What it does. Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from $27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance. The benchmark excludes delivery, refill, exchange, dispenser sales, and unrelated products where possible.
Economic model. The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed.
Evidence bridge. FY2023 combined Refill/Filtration revenue was $226.9 million versus $192.0 million, so filtration growth is not separable. Customer equipment had $235.0 million net book value and 2-15-year lives but included many non-filtration assets. Cancellation is flexible. Filtration-only revenue, units, customers, churn, EBITDA, service cost, and capex are unavailable; Primo margin, capex, conversion, tenure, and payback are low-confidence.

KEY DILIGENCE QUESTIONS

Obtain filtration-only revenue, installed units, churn, net retention, margin, service cost, and sustaining capex. | Separate organic placements and price from tuck-in acquisitions at Quench and refill-driven growth at Primo. | Measure returned-unit recovery, refurbishment, redeployment, and scrap rates by product family. | Track office occupancy, customer downsizing, route density, and technician productivity by geography. | Keep equipment payback distinct from account-level CAC payback and include direct service plus maintenance reserves.